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United States: Rhode Island Limited Bank Holiday, 1991[1]

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Abstract

In 1990, the Rhode Island Share and Deposit Indemnity Corporation (RISDIC) was a private mutual deposit insurance corporation funded by member institutions. Late that year, after the failures of two of its insured institutions in July and October, other RISDIC member institutions faced large depositor withdrawals, as concerns began to focus on the financial health of RISDIC itself. RISDIC had maintained inadequate reserves, and on December 31, 1990, it found itself lacking the resources to cover depositor withdrawals from member institutions. RISDIC leadership requested a state-appointed conservator, which meant that all its member institutions no longer had the deposit insurance that Rhode Island law mandated. On January 1, 1991, to prevent an uncontrolled run on financial institutions that no longer had deposit insurance, incoming Governor Bruce Sundlun declared a bank holiday for the 45 banks and credit unions that RISDIC had insured. Management remained in place at the closed institutions; state authorities encouraged them to seek federal deposit insurance or merge with healthier institutions. Twenty-two credit unions reopened on January 7 with federal deposit insurance after federal examiners had reviewed their assets and capital adequacy; a further four reopened by the end of January. On February 8, the governor signed legislation creating the Depositors Economic Protection Corporation (DEPCO) to facilitate liquidations or sales of banks that could not access federal insurance. Most depositors had been repaid within 18 months of the governor's executive order, supported by asset sales; $637.5 million in DEPCO bond issues, of which $125 million received a federal guarantee; and $190 million in clawbacks from insiders and others implicated in RISDIC's failure. Ultimately, all depositors recovered 100% of their deposits.

Keywords: bank holiday, FDIC, NCUA, Rhode Island, RISDIC, United States

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[1] This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering bank holiday and fund suspension programs. A survey of all the cases in this series (Wiggins et al. 2025) and the cases underlying it are available from the *Journal of Financial Crises* at https://elischolar.library.yale.edu/journal-of-financial-crises/.

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Overview

The Rhode Island Share and Deposit Indemnity Corporation (RISDIC) was a state-chartered private insurance company created in 1971 to provide insurance for credit unions chartered in Rhode Island, expanding to other financial institutions in 1976 (Pulkkinen and Rosengren 1993). It was, by law, a nonprofit, mutual corporation owned by its member institutions (Gregorian 1991; Todd 1994). A 1977 law required all Rhode Island depository institutions to have insurance (Pulkkinen and Rosengren 1993). RISDIC's basic insurance was $100,000 per account. However, in 1985, RISDIC began to allow institutions that paid additional premiums to insure up to $500,000 per account for a fee and even offered unlimited coverage on specific types of accounts (Kostrzewa 1990a; Pulkkinen and Rosengren 1993).

By the late 1980s, many states had begun moving away from private deposit insurance (English 1993). RISDIC insured increasingly larger accounts and covered "a more diverse group of institutions" to contend with the migration of stronger financial institutions in Rhode Island toward federal deposit insurance from the Federal Deposit Insurance Corporation (FDIC) and the National Credit Union Association (NCUA) (Pulkkinen and Rosengren 1993, 4). The failures of private insurance funds in Ohio and Maryland in early 1985 accelerated migration away from private deposit insurance. Deposits in large, weak institutions still under RISDIC coverage rose 40% in real terms between 1980 and 1989 (Pulkkinen and Rosengren 1993). Eight of the largest credit unions paid for the $500,000 coverage as of mid-1990 (Kostrzewa 1990a).

Key Terms

Purpose: To prevent an uncontrolled run at financial institutions that no longer had deposit insurance and protect depositors, creditors, and shareholders at affected institutions	
Announcement Date	January 1, 1991
End Date	Credit unions and banks approved by federal examiners reopened with federal insurance on January 7, 1991; all depositors, except some former executives and other insiders whom the state pursued restitution against, were repaid in full by November 1995
Legal Authority	Proclamation of the governor, under a 1933 law
Administrators	Rhode Island executive branch and Rhode Island Depositors Economic Protection Corporation (DEPCO)
Communication and Disclosure	Mixed messages about the amount the state would be able to pay back until the governor signed the DEPCO Act; A column called "Crisis Line" in the local newspaper facilitated a dialogue between depositors and government officials
Permitted Withdrawals	Depositors could apply for emergency withdrawals of up to $1,000 per month, later increased to $1,500; RI governor proposed but then withdrew a proposal to issue scrip in place of cash for some depositors *(continued)*

Treatment of Depositors or Investors	All depositors either benefited from their banks' reopening with federal deposit insurance or were eventually compensated in full
Outcomes	All depositors eventually recovered all of their funds; other states pressured uninsured credit unions to get federal deposit insurance
Notable Features	DEPCO funded depositor payouts through bonds backed by excess revenue from the state sales tax; the state recovered $190 million toward depositor payouts from successful lawsuits against insiders and accounting, financial, and legal firms

In 1985, then–Attorney General Arlene Violet put together a team of individuals to investigate and report on RISDIC and the financial institutions it insured. Retired banking lawyer Robert Stitt delivered the "Stitt Report" to Violet on December 13, 1985 (Stitt and Black 1991). The report detailed impropriety across RISDIC and its member institutions, mentioning "unduly concentrated loans to Officers, directors and other Insiders" and "microscopic reserves" (West 2014). The report also said that three RISDIC members, Marquette Credit Union, East Providence Credit Union, and the Greater Providence Deposit Corporation,[4] were in poor condition. A run on any one of the three would bring down RISDIC, given its inadequate reserves (English 1993; West 2014). The attorney general and her team tried to warn the administration of then-Governor Edward DiPrete of the magnitude of the situation, and a member of the General Assembly attempted to introduce a bill mandating federal deposit insurance for Rhode Island financial institutions. Officials from the Federal Reserve Bank of Boston also met with the governor in March 1986 and helped draft that bill, but it found little support in the General Assembly (Syron 1991).

The scenario predicted by the Stitt Report began to play out when Jefferson Loan and Investment Company ceased operations on July 9, 1990. Jefferson was reconstituted as a subsidiary in another RISDIC-covered institution, at a significant cost to RISDIC (Gregorian 1991). On October 18, 1990, RISDIC secretly took over Heritage Loan and Investment Company, where embezzlement by the bank's chairman had rendered the firm insolvent (Preston 2015; Pulkkinen and Rosengren 1993). RISDIC had insured deposits at Heritage Loan and Investment Company up to $500,000. The cost of these two interventions drained RISDIC's liquid assets and triggered large depositor withdrawals at other RISDIC-insured institutions (Pulkkinen and Rosengren 1993).

Meanwhile, Rhode Islanders went to the polls on November 6 and elected Democrat Bruce Sundlun to replace Governor DiPrete (Garland 1990). The failure of Heritage hit the headlines on November 12, 1990; in the resulting bank run, depositors withdrew $13.6 million in four days (Farzan 2023). On November 16, the newspapers reported that RISDIC-insured institutions had begun to apply for federal deposit insurance (Kostrzewa 1990b; Kostrzewa 1990c). On the same day, federal regulators from the NCUA began to

[4] Greater Providence Deposit Corporation and Greater Providence Trust Company both closed and were listed in receivership in the 1992 Rhode Island Department of Business Regulation annual report (DBR 1992). They appear as a single entity called Greater Providence Deposit & Trust in the documentation concerning the acquisition by Northeast Savings Bank (see Key Design Decision No. 2, Part of a Package) (DEPCO n.d.).

examine RISDIC-insured institutions to consider their applications (Bumgardner 1991). Federal regulators and representatives from the Federal Reserve Bank of Boston also reached out separately to the outgoing and incoming governors' staffs to discuss the problems at RISDIC (Syron 1991). However, Governor Sundlun's staff said the issue was described to them at that time as simply a "timing problem"—if some institutions announced they had insurance, it might cause a loss of confidence for others (Sundlun 1991e, 203).

By mid-December, state and federal officials had become extremely concerned about RISDIC's ability to insure its members. On December 19, 1990, the chairmen of the FDIC and NCUA delivered their preliminary findings to the outgoing and incoming governors and their staffs. Their examiners estimated that RISDIC-insured institutions were sitting on a potential loss of up to $500 million (Bumgardner 1991). Sundlun later wrote that the meeting with federal regulators "was the first day I heard anything about credit unions" (Sundlun 2001).

Deposit withdrawals from RISDIC-insured institutions increased in the final weeks of the year. By December 31, 1990, RISDIC lacked the resources necessary to satisfy depositor withdrawals in its banks. RISDIC's board of directors requested that the state appoint a conservator, and RISDIC entered receivership (Pulkkinen and Rosengren 1993; Sundlun 1991a).

Immediately after being sworn in, Governor Sundlun issued an executive order closing the 45 RISDIC-insured banks, credit unions, and loan and investment companies indefinitely and directing the director of the Department of Business Regulation (DBR) to take the necessary steps "to protect the depositors of the aforesaid institutions, including preparation of a plan for emergency or hardship access to depositors' funds" (Sundlun 1991a). This action impacted 350,000 accounts with a total value of $1.2 billion. That represented one-third of Rhode Island's population; for comparison, the recent Maryland and Ohio crises, which also involved privately insured deposits, had affected just 4% and 8% of their populations, respectively (Prosky 2018; Reed 1991).

On Sunday, January 6, Sundlun announced his proposed plan for the 16 institutions that had been rejected for federal deposit insurance: (1) starting January 7, allow depositors at closed credit unions to apply at various banks for $1,000 in emergency hardship aid; (2) as early as January 21, allow small depositors to receive up to $2,500 from savings accounts and up to $10,000 from checking accounts; (3) merge all 16 banks and credit unions into a new state agency, the Depositors Economic Protection Corporation (DEPCO); (4) use tax money to make up the anticipated shortfall after the sale of the loans and assets of the closed institutions; (5) pay off all depositors up to $100,000 over up to four years; and (6) issue scrip to depositors equal to the balance in their accounts (Kostrzewa and Hi 1991). He also announced that a consortium of the nine Rhode Island banks had agreed to lend the state $150 million to get some cash quickly to depositors (Sundlun 2001). Management remained in place at the closed banks. The governor encouraged them to continue to seek federal deposit insurance or merge with healthier institutions and look at DEPCO as a last resort (US House Finance Committee 1991).

Over the ensuing month, most aspects of that plan were dropped or significantly revised. By January 7, the state was able to start getting hardship cash out to the 22 institutions that reopened with federal insurance, as the governor's staff and legislators negotiated (Syron 1991). But the healthy banks ultimately pulled out of their commitment to lend the state $150 million, and the governor quickly withdrew the scrip proposal in the face of public opposition (although in June 1992, DEPCO did use IOUs to pay out the final depositors of four banks) (DEPCO n.d.; Downing 1991e; Kostrzewa 1991; US House Finance Committee 1991).

Intense negotiations between the governor and state legislators continued throughout the month of January over two key issues: How much to promise depositors and how to fund the bailout (Downing 1991a).

Funding was always the biggest constraint for the state. The state was under pressure to find funding to begin repaying depositors at closed institutions as soon as possible. The new governor was reluctant at first to issue bonds on the market because of the state's tight fiscal situation and the size of the need relative to its outstanding debt. Sundlun initially sought to limit the state's exposure to $150 million—at one point, promising to veto any bill that didn't set an explicit limit; at other points, proposing pro rata payouts above $100,000 based on the quality of an institution's loan book, or capping payouts above $100,000 at 65%. Those proposals were consistently blocked by the leadership in the General Assembly, who wouldn't accept anything less than 100% for all depositors (Phipps 1991).

On January 28, the governor allowed nine of the 16 closed institutions to send checks to depositors up to the amounts he had announced January 6, and many depositors began to receive some of their funds for the first time since the holiday began. He said the other seven institutions couldn't make payouts because they were negotiating with a potential acquiror (Downing 1991d).

On February 8, the governor signed the DEPCO Act to protect the interests of depositors in the remaining closed institutions (Chen et al. 2020; Sundlun 1991e). DEPCO purchased assets from institutions in receivership and provided gradual payouts to depositors through the sale of assets (Pulkkinen and Rosengren 1993; US House Finance Committee 1991).

Thirty-three of the 45 closed institutions either reopened with federal deposit insurance or repaid their depositors in 1991 (Pulkkinen and Rosengren 1993).[5] By mid-1992, DEPCO had borrowed $637.5 million through bond issues (DEPCO 1993). DEPCO completed all depositor repayments by the end of 1993, and all depositors recovered the full amount, except for some former executives and other insiders against whom the Rhode Island government pursued legal restitution (Chen et al. 2020; Kostrzewa 2002; Todd 1994). However, losses in many of the RISDIC-insured banks left Rhode Island taxpayers facing a $356 million cost (see Key Design Decision No. 4, Administration) (Todd 1994). DEPCO recovered $190 million of this through litigation against accounting, financial, and legal firms that had audited or provided other services to RISDIC and RISDIC-insured financial

[5] Two institutions were nondepository and became inactive (Pulkkinen and Rosengren 1993).

institutions, as well as through lawsuits against certain insiders (Chen et al. 2020; Kostrzewa 2002; Todd 1994).

Rhode Island's crisis led many other states to impose deadlines for obtaining federal deposit insurance. The NCUA said in April 1991 that it had already received 600 applications for federal insurance from the remaining 1,500 credit unions that remained on private insurance and that five states had asked the NCUA for help to transition entirely from private insurance to NCUA insurance (Bumgardner 1991). Figure 1 shows a timeline of events related to the credit union crisis in Rhode Island.

Figure 1: Timeline of Events Related to the Rhode Island Credit Union Crisis

Date	Event
Dec. 16, 1985	"Stitt Report" informs Governor DiPrete of the precarious position of Marquette Credit Union, East Providence Credit Union, and the Greater Providence Deposit Corporation. A run on any one of these institutions would bring down RISDIC.
May 12, 1986	Committee of Rhode Island legislature rejects a bill that would have made federal deposit insurance mandatory.
July 1990	Jefferson Loan and Investment Company fails, costing RISDIC $3.9 million. RISDIC examiners also discover the "chaotic" state of finances at Heritage Loan and Investment Company (English 1993, 121).
Oct. 18, 1990	RISDIC secretly takes over Heritage at a cost of approximately $19 million.
Nov. 2, 1990	RI general treasurer secretly withdraws $750,000 of state pension funds from Heritage.
Nov. 6, 1990	Voters elect Democratic businessman Bruce Sundlun to replace Republican Gov. Edward D. DiPrete.
Nov. 12, 1990	RISDIC publicly announces that it had taken over Heritage in October, reportedly leading depositors to withdraw 60% of deposits that week.
Nov. 16, 1990	Newspapers report that 35 RISDIC-insured credit unions have begun to apply for federal insurance.
Nov. 18, 1990	The state closes Heritage and the DBR takes over as receiver, freezing further deposit withdrawals.
Nov. 21, 1990	RISDIC board agrees to assess members $8.3 million to bolster the insurance fund.
Dec. 19, 1990	Federal examiners from the FDIC and NCUA inform outgoing and incoming governors that many RISDIC member institutions are not insurable without direct financial assistance from the state.
Dec. 31, 1990	RISDIC requests a state-appointed conservator and enters receivership.
Jan. 1, 1991	Hours after taking office, Governor Sundlun announces the temporary closure of the 45 RISDIC-insured financial institutions.
Jan. 3, 1991	NCUA announces it has rejected 11 credit unions for federal insurance; 22 have tentative approval. FDIC announces it has rejected five banks for federal insurance.
Jan. 6, 1991	Gov. Sundlun announces plan to create DEPCO to help restore funds for depositors in banks that don't reopen with federal insurance; also proposes terms for partial repayment to depositors and hardship withdrawals starting Jan. 7.

Jan. 7, 1991	22 credit unions reopen with federal deposit insurance from the NCUA.
Jan. 28, 1991	The governor authorizes nine closed financial institutions to provide partial payouts to their depositors.
Feb. 8, 1991	DEPCO legislation is passed by Rhode Island House and Senate, and signed by the governor, to facilitate asset management and depositor payouts.
May 28, 1991	The state Supreme Court, in an advisory opinion, confirms DEPCO's legality.
June 6, 1991	DEPCO issues first bonds to raise $150 million.
June 24, 1991	Davisville Credit Union and Central Credit Union receive 90% of balance in accounts.
Jan. 21, 1992	Governor Sundlun delivers his State of the State Address, announcing that depositors who had still not been repaid would receive reimbursement by June.
April 21, 1992	Northeast Savings acquires four closed institutions, paying most depositors in full and providing the rest with 90% cash and 10% debentures, both measured against full account deposits.
Oct. 1993	Holders of IOUs in financial institutions in DEPCO receivership receive full cash reimbursement.
Nov. 1995	Holders of IOUs in financial institutions acquired by Northeast Savings receive full cash reimbursement, the final payment of depositors affected by the bank holiday.

Sources: English 1993; Kostrzewa 2002; authors' analysis.

Summary Evaluation

Richard Syron, then president of the Federal Reserve Bank of Boston, praised the governor's quick decision to close the banks in a congressional hearing in April 1991. "My own strong view, albeit personally held, is that the governor acted decisively and appropriately in doing so. The reason for that view is that I believe the bank holiday protected poorly informed depositors from having the only deposits left in these institutions" (Syron 1991, 29). Layne Bumgardner, then an official from the National Credit Union Administration, gave similar testimony at the hearing: "The Governor's action was politically difficult—but courageous and necessary. It likely prevented even further losses" (Bumgardner 1991, 33).

On the other hand, a Federal Reserve Bank of Cleveland working paper asserts that the statewide bank holiday stopped the runs but may have inadvertently created long delays for depositor access to funds (Todd 1994). Despite the expectation that the bank holiday would be temporary, most depositor claims remained frozen throughout 1991, and skepticism about the finances of state-chartered institutions contributed to a second series of runs in late January 1991 on Old Stone Bank (OSB), which was federally insured (Todd 1994; US House Finance Committee 1991). As an alternative, the working paper argues that the state could have returned 70 cents on the dollar for insured deposits in the insolvent RISDIC-insured institutions through prompt liquidation, funded by the state, and sales. Although this path would have been "politically difficult, to be sure," the paper argues that it may have resulted in less economic and financial pain for the state over time (Todd 1994, 14). The paper notes that the authorities rejected the path of prompt liquidation in January 1991 because it appeared too costly and politically impractical for the state given the size of the problem relative to the state's budget at the time. As it turned out, the paper notes that "the state has in fact achieved an entirely state-funded solution"(Todd 1994, 17).

Some observers criticized the governor for downplaying the cost to taxpayers in the early days of the crisis. The *Providence Journal* hired a Washington-based financial consultant, Bert Ely, to evaluate the DEPCO plan in February 1991. Ely predicted—correctly, as it turned out—that the state would need $200 million more cash than the governor and legislators had estimated to pay back depositors on the schedule the bill set. He compared the low and unrealistic estimates to President George H.W. Bush's early estimates of the costs of the savings and loan crisis: "Bush got off to a wise and quick start to solve the problem soon after he took office in 1989, but he didn't ask for enough money in the original bill" (Kostrzewa 1991). Ely said, "And 15 months later, Treasury Secretary Nicholas Brady is now putting realistic cost estimates on the table. That hurt Bush's credibility, and I think the same thing could happen to Sundlun" (Kostrzewa 1991). Ely also noted that the FDIC pays insured depositors immediately upon a bank's resolution, not over time as set by the DEPCO Act (Kostrzewa 1991).

Others argued that the state should have imposed losses on depositors above $100,000 to protect taxpayers, as the governor originally proposed. The week the governor signed the DEPCO Act, *Providence Journal* financial editor Peter Phipps characterized the argument for full depositor payouts as led by lobbyists for builders, bankers, and the wealthy (Phipps 1991). He criticized the secrecy of the negotiations that led to the legislation and the uncapped cost it would impose on taxpayers. "The game is over. The depositors won. The taxpayers lost," Phipps wrote (Phipps 1991).

In an article 10 years after the crisis, Sundlun writes that "DEPCO's record is a great success. What DEPCO did has not been matched in any one of the other four states where credit-union crises existed" (Sundlun 2001). He notes that DEPCO had paid all depositors in institutions under DEPCO receivership 100% of their deposits plus interest by October 1993 (Sundlun 2001).

Then–FDIC Chairman L. William Seidman concluded in his memoir,

> The Rhode Island experience illustrates how difficult, if not impossible, it is to allow a depositor to suffer a major loss in a bank failure. No matter what free market ideology and our risk-reward system may dictate, depositors will be protected because political careers are at stake. (Seidman 1993, 168)

Context: Rhode Island, RISDIC,[A] 1990–1991	
Assets	**$1.8 billion** as of Dec. 31, 1990 **$1.2 billion** as of Dec. 31, 1991[B]
Liabilities	**$1.8 billion** as of Dec. 31, 1990 **$1.3 billion** as of Dec. 31, 1991
Deposits	**$1.7 billion** as of Dec. 31, 1990 **$1.3 billion** as of Dec. 31, 1991
Capital Ratio (Tier 1)	*Data not available*
Nonperforming Loans	*Data not available*
Market Share	*Data not available*
Banking System, % of GDP	*Data not available*

[A] This context box contains information on the 45 institutions insured by RISDIC that were closed on January 1, 1991, as a result of Governor Sundlun's proclamation.

[B] The data from 1991 excludes six institutions that were either closed, liquidated, merged, or otherwise listed as permanently inactive in 1991.

Sources: DBR 1991; DBR 1992.

Key Design Decisions

1. **Purpose: The governor of Rhode Island closed 45 financial institutions that could no longer legally operate given the failure of their deposit insurer, preventing an uncontrolled run on the institutions.**

In July 1990, Jefferson Loan and Investment Company, a RISDIC member, failed. RISDIC reconstituted Jefferson as a subsidiary of Marquette Credit Union, an intervention that cost the insurer approximately $3.9 million (English 1993). Soon after, RISDIC examiners discovered substantial unreported losses at Heritage Loan and Investment Company, and RISDIC was forced to take control of Heritage in October 1990 (Pulkkinen and Rosengren 1993). Losses from both of these interventions drained RISDIC's liquid assets, and RISDIC leadership levied an additional premium payment of $8.3 million from members in order to restore the insurance fund (Kostrzewa 1990d). However, depositors at other RISDIC-insured institutions began to make large withdrawals in November 1990, a run that accelerated in December (Preston 2015; Pulkkinen and Rosengren 1993).

On December 19, 1990, the incoming and outgoing Rhode Island governors met with the chairmen of the Federal Deposit Insurance Corporation and the National Credit Union Administration, which regulate and insure the deposits of federally chartered banks and credit unions (Bumgardner 1991). At the meeting, the federal supervisors estimated that RISDIC-insured institutions were sitting on a potential loss of $250 million to as much as $500 million (Bumgardner 1991; Seidman 1993; Sundlun 1991d). The FDIC said none of the five RISDIC banks were insurable by the FDIC. The NCUA said seven credit unions were insurable by its insurance fund immediately; 14 would need some time to comply with changes to become insurable; 11 were not insurable without additional resources; and they had no answer yet on the remaining three.

Governor DiPrete asked the federal supervisors not to transmit their decisions on applications to the institutions for approximately two weeks, when the new governor was in place on January 1 (Bumgardner 1991). The two federal regulators informed the RI authorities that they would not be able to provide federal deposit insurance to failed Rhode Island institutions (Preston 2015). "Taking over insurance losses after they occurred was not our business," FDIC Chairman Seidman later wrote in his memoir (Seidman 1993, 167).[6] Seidman informed the governors that the state would have to find the funds to rescue depositors, at least in part using state funds; he also recommended they seek federal assistance from Congress (Seidman 1993, 166). Seidman advised Governor DiPrete not to close the uninsured institutions unless the state had $450 million to cover the losses on their books (US House Finance Committee 1991). He advised incoming Governor Sundlun to put

[6] According to Seidman's memoir, the governor-elect at that meeting suggested imposing losses on depositors, as they "had chosen to put their money into these institutions because they would receive a higher rate of interest." Seidman, a law school classmate of Sundlun's, said that his response to the governor-elect, "as an old friend, was that penalizing depositors in this situation was not going to be easy to do without a political revolt" (Seidman 1993, 166)

the full faith and credit of the state behind the banks; Sundlun responded that the amount exceeded the state's outstanding bonds and it would not be able to raise that amount (Sundlun 1991d). Later that day, the president of a large healthy bank in the state gave a similar answer that he was unable to help (Preston 2015).

After that meeting, with the understanding that RISDIC was no longer viable and many of its member banks were at risk of failure, Sundlun advisor Sheldon Whitehouse worked in a war room with officials from the Rhode Island Department of Business Regulation, as well as officials from the US Treasury Department and the George H.W. Bush administration. Shortly after noon on December 31, 1990, RISDIC alerted Whitehouse that it had entered conservatorship, essentially a receivership under Rhode Island state law (Preston 2015). Given that the next day, January 1, was a holiday, this meant that all RISDIC-insured institutions would no longer have the legally required deposit insurance upon the start of business on January 2, 1991 (Preston 2015; Sundlun 1991a).

January 1 was also the day that Governor Sundlun would take office and deliver his inaugural address. The governor-elect's team met December 31 to review options. They quickly conceived of the long-term solution, a resolution and asset management vehicle that would ultimately come to pass as the Depositors Economic Protection Corporation. However, creating DEPCO would require time to pass legislation, and the uninsured deposits presented an immediate and acute crisis. One option was to assume responsibility for all RISDIC-insured institutions under the full faith and credit of the state. The governor-elect had already rejected this option because nobody knew how big the problem was yet; it would have put Rhode Island taxpayers on the hook for an indeterminate sum. The second option was to immediately place all RISDIC-insured banks into state receivership, an option that authorities decided against because of the potential for catastrophic public confusion and panic. A third "even worse" option not considered would be to allow the uninsured banks and credit unions to open without insurance; this was both disallowed under Rhode Island law and likely to spark an uncontrolled run on institutions that no longer had functioning deposit insurance, according to a memoir by a senior Sundlun staffer (Preston 2015).

Thus, Sundlun and his team decided on the bank holiday approach (Preston 2015). On January 1, 1991, Governor Sundlun issued an executive order declaring a banking emergency and approved the closing of 45 Rhode Island financial institutions insured by RISDIC (Sundlun 1991a; West 2014). The executive order said that the proclamation was required for the protection of shareholders, depositors, and creditors, in the 45 financial institutions named in the order (Sundlun 1991a).

2. Part of a Package: Financial institutions that were approved by federal examiners reopened with federal deposit insurance, and state authorities created DEPCO to reconstitute or resolve the uninsured banks.

Banks that were able to access federal deposit insurance did so and fully reopened, many before the end of January (see Key Design Decision No. 11, Exit Strategy) (Prosky 2018).

The legislation imbued DEPCO with a broad set of powers aimed at providing depositors with access to their funds as quickly as possible (Downing 1991a). Authorities modeled DEPCO after the Resolution Trust Corporation (RTC), a federal response to the failures of thrifts in the late 1980s and early 1990s (Lawson and Engbith 2021; Preston 2015).[7]

Bank management remained in charge of their institutions. The governor encouraged them to seek federal deposit insurance, and DEPCO was empowered to support that process (US House Finance Committee 1991). If federal insurance was not an option and the institution could not repay depositors on its own by liquidating assets or merging, the bank had no other option but to enter receivership (Downing 1991h). DEPCO provided gradual payments to depositors of banks taken into receivership, funding such payments from substantial bond issues and the sale of bank assets (See Key Design Decision No. 8, Treatment of Depositors and Investors) (Downing 1991f). Though the process had standardized criteria, ad hoc adjustments were made for specific institutions (See Appendix: Timelines of Payouts and Mergers by Institution) (DEPCO n.d.).

Rhode Island authorities were proactive in seeking support from federal regulators in order to respond to the financial crisis (Hassenfeld Institute 2018). Among the governor's earliest plans was the Old Stone Plan, in which Old Stone Bank, a healthy, nationally chartered bank with federal deposit insurance (DBR 1992), would acquire six closed institutions.[8] However, the Office of Thrift Supervision (OTS), OSB's federal regulator, disapproved of the OSB plan because of depositor haircuts and the state's unwillingness to provide an unlimited state guarantee. Officials negotiated for several months to try to adjust the terms of the plan such that it would receive OTS approval, but it was ultimately unsuccessful. The OSB plan officially fell apart on September 26, 1991, when OSB announced that it was suspending its efforts to acquire closed Rhode Island institutions (Prosky 2018).

Immediately following the failure of the OSB plan, state officials sought to replace OSB with Northeast Savings Bank (NSB) as the acquirer of the closed institutions. Similar roadblocks delayed the NSB plan, but it eventually received approval from all relevant authorities, with final approval coming from the FDIC on February 12, 1992. NSB agreed to buy four institutions, including four of the six that were originally part of the OSB plan—Columbian Credit Union, Greater Providence Deposit & Trust, East Providence Credit Union, and Providence Teachers Credit Union. NSB officially closed the acquisition agreement on April 21, 1992 (Prosky 2018). Most depositors in the institutions acquired by Northeast Savings were repaid in full, in cash, while some received 90% cash and a debenture for the remaining 10% (see Key Design Decision No. 11, Exit Strategy) (Downing 1993b; Downing 1995).

Blackstone Valley Loan and Investment entered voluntary self-liquidation, with DEPCO available to purchase depositors' claims on the same schedule as it would for institutions it acquired under the DEPCO Act. Chariho-Exeter Credit Union was acquired by First Bank and

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[7] For a full account of the RTC, see the corresponding YPFS case study (Lawson and Engbith 2021).

[8] The institutions were Chariho-Exeter Credit Union, East Providence Credit Union, Columbian Credit Union, Providence Teachers Credit Union, Greater Providence Deposit & Trust, and Blackstone Valley Loan and Investment (Prosky 2018).

Trust in 1992 with DEPCO assistance; its depositors, excluding officers and directors, received new deposits in First Bank and Trust (DEPCO 1993).

After intense lobbying by Rhode Island's governor and congressional delegation, Congress directed the US Treasury to guarantee up to $180 million in debt issued by DEPCO or the state of Rhode Island under a provision in the Federal Deposit Insurance Corporation Improvement Act, a major financial regulatory law signed by President George H.W. Bush on December 19, 1991, which allowed for a loan to Rhode Island from the federal government (Prosky 2018; US House 1991). The state would pay an annual fee of one-half of 1% of the outstanding loan principal. It took several more months for this loan to finalize, but on June 26, 1992, DEPCO issued a $125 million loan backed by the Treasury (Prosky 2018). The bond was a senior secured general obligation bond collateralized by a lien on all assets, rights, and interests of DEPCO, and by excess state sales tax receipts. The federal guarantee enabled the state to borrow at a significantly lower interest rate than it otherwise could—the 91-day US Treasury bill rate plus 0.125% (DEPCO 1994). Sundlun later said the federal guarantee had saved the state $4.5 million in interest costs (Kostrzewa 1993).

In September 1991, DEPCO provided a capital injection to PierBank in order to support its reopening. DEPCO injected $500,000, purchasing 100,000 common shares at $5 per share. This gave DEPCO a 10% ownership stake in PierBank and qualified the bank for federal deposit insurance pending FDIC approval. The deal stipulated that existing PierBank shareholders would gradually purchase DEPCO's equity stake over the course of three years. Reporting on the deal stated that the longer shareholders waited to buy DEPCO's equity stake, the more they would have to pay (Downing 1991j).

3. Legal Authority: The governor's executive order 91-2 initiated the bank holiday and empowered the DBR to set the terms of the holiday; the legislature passed a law creating DEPCO to oversee the reopening.

Section 19-11-9 of Rhode Island's General Laws required all deposit-taking institutions in the state to have deposit insurance. Because RISDIC had requested a state-appointed conservator, given its lack of resources, all institutions that had previously been RISDIC-insured could no longer legally operate in Rhode Island (Sundlun 1991a).

Title 19, Chapter 18 of Rhode Island's General Laws empowered the governor to proclaim a banking emergency if deemed necessary for the protection of depositors, creditors, or shareholders (Sundlun 1991a). This power was established in 1933 as a part of Rhode Island's banking emergency legislation (Office of the Secretary of the State 1938). Governor Sundlun exercised this power on January 1, 1991, immediately after his inauguration, proclaiming a banking emergency in relation to the 45 RISDIC-insured institutions (Sundlun 1991a).

The governor's declaration of a banking emergency empowered the Department of Business Regulation, which regulated state-chartered banks and credit unions, to issue binding rules and regulations for financial institutions included in the emergency declaration (Governor of Rhode Island 1991a; DBR 1992). The DBR director exercised this power in a "Special

Regulations and Order" document attached to the governor's emergency declaration on January 1. The regulations included nine rules that halted operations in the RISDIC-insured institutions, established rules for emergency withdrawals, and required the institutions to submit liquidity reports to the DBR. The purpose of these reports was to enable the creation of plans for hardship access to funds for depositors and eventual plans to access the necessary insurance for the institution to resume operations (Sundlun 1991a).

In February 1991, the Rhode Island General Assembly passed legislation creating DEPCO, which the governor signed on February 8 (Sundlun 1991e). Legal questions delayed the creation of DEPCO and its ability to issue debt. On May 28, 1991, the state Supreme Court, in an advisory opinion, finally confirmed DEPCO's legality (Rhode Island Supreme Court 1991). The agency was ultimately empowered to take control of institutions that were not able to reopen with federal insurance and provided payments to depositors in closed institutions over time (Downing 1991a; Pulkkinen and Rosengren 1993).

4. Administration: DEPCO implemented efforts to satisfy depositor claims in consultation with the executive branch.

The government created DEPCO in February 1991 to take over banks that could not reopen with federal insurance and set a timetable for depositor payouts (Pulkkinen and Rosengren 1993). DEPCO was headed by former FDIC official Richard Gaskell (Hassenfeld Institute 2018).

DEPCO issued its first debt, a $150 million revenue bond, on June 6, 1991 (DEPCO n.d.). The bond was funded by dedicated revenue from the state sales tax, representing one-half of 1%, as well as other revenue earned on investments of DEPCO's Reserve Fund (DEPCO 1991). DEPCO ultimately issued $637.5 million in bonds as of June 30, 1992 (DEPCO 1993).

Financial institutions that entered receivership had court-appointed receivers and operated under control and supervision of the state courts (Downing 1991h; Downing 1992).

5. Governance: The governor chaired DEPCO's board and appointed the other board members.

The governor chaired DEPCO's board and appointed the four other members of the board of directors (Downing 1991a). A joint committee of General Assembly members and the Office of the Auditor General completed audits of DEPCO's finances and operations (DEPCO 1991). The General Assembly later created a Performance Review Committee to review DEPCO's performance (Rhode Island General Assembly 1994).

On January 17, 1991, the governor issued an executive order commissioning Vartan Gregorian, then president of Brown University, to conduct an independent investigation of the events leading up to the failure of RISDIC (Sundlun 1991c). Gregorian and his team were designated as agents of the governor, free from interference or control by any branch of government and indemnified from any civil liability claims arising from the investigation (Sundlun 1991b). Gregorian published his report, "Carved in Sand: A Report on the Collapse of the Rhode Island Share and Deposit Indemnity Corporation," on March 14, 1991 (Gregorian 1991).

The Subcommittee on General Oversight and Investigations of the Committee on Banking, Finance and Urban Affairs within the US House of Representatives (House Finance Committee) held a hearing in April 1991 to review the causes of the Rhode Island banking and credit union crisis and discuss the state's request for federal aid. The committee attached the full text of the Gregorian report to its hearing report for the record (US House Finance Committee 1991).

6. Communication and Disclosure: Depositors received mixed signals about the timing and extent of their payouts, as the governor and legislators debated the DEPCO Act; local journalism facilitated a dialogue between depositors and government officials, accompanied by regular meetings with the public.

While drafting the governor's inauguration speech, Governor Sundlun's communications director, David Preston, used President Franklin Roosevelt's first fireside chat as a guide. Seeking language that projected similar optimism, Preston wrote, "I am confident that the crisis will be resolved quickly" (Preston 2015). The governor left most of the draft speech intact but replaced "I am confident" with "I hope" (Preston 2015).

Immediately after the declaration of the bank holiday, Preston said that the administration expected some institutions to open before the end of the week with federal deposit insurance, while others would not reopen as quickly. The chairman of the FDIC said that federal examiners had been visiting RISDIC-insured banks for several weeks and that the agency would insure only institutions that met its standards for financial stability (Bradsher 1991).

After healthy banks reopened on January 7, 1991, depositors in institutions that remained closed received mixed messages about the ultimate reimbursement they would receive. A *Providence Journal* article on Friday, January 4, describing the governor's initial proposal for addressing the crisis, had the headline, "11 Institutions Don't Qualify for Insurance; Sundlun Vows Depositors Will Be Paid off in Full" (Starkman 1991). However, the text of the article quoted the governor saying that payouts for depositors in institutions that ultimately liquidated would be limited to the $100,000 that RISDIC had guaranteed (Starkman 1991). The article did not mention that the largest institutions had extended the guarantee to $500,000 in recent years. The following Friday, the paper reported that the governor's staff had released the text of its proposed bill; although the bill still lacked details about how much depositors would get, the article quoted the governor's senior counsel saying that the amount could exceed $100,000 (Downing 1991a). The amount and timing of payout were hotly debated over the ensuing weeks until the governor and legislators agreed on the DEPCO Act in early February (US House Finance Committee 1991).

During 1991, as many institutions remained closed, the administration held public meetings with disgruntled depositors in order to communicate the efforts being taken by the state to satisfy their claims. In these town hall-style sessions, the governor gave citizens the opportunity to express their displeasure directly to him, his staff, and other government officials. Sundlun advisor Whitehouse, now a US senator from Rhode Island, commends this action by the governor and considers it to be a lesson to all public officials in a crisis. In his words, "You've got to let them have their anger, they earned it by being screwed, and now they are entitled to yell" (Hassenfeld Institute 2018).

In his 1992 State of the State address, one year after the holiday began, Governor Sundlun noted that 35 of the 45 closed institutions had either reopened with federal deposit insurance or repaid their depositors, with the majority being paid in full. Of the remaining 10 closed institutions, six were to be merged with other operating institutions, and the administration intended to create a plan for repaying the remaining depositors before June 1992 (Sundlun 1992).

In the same address, the governor also praised reporter Neil Downing of the *Providence Journal* for a column called "Crisis Line." The governor called the column a beacon of rationality for depositors and awarded the journalist with the state's highest civilian honor, the Rhode Island Distinguished Service Star (Sundlun 1992). Crisis Line provided a forum for depositors to submit their questions, and Downing answered them directly (referring to submissions only by the individual's initials), serving as a bridge between state authorities and concerned citizens (Downing 1991b).

DEPCO provided literature in mailed payments, which provided further information for depositors in the event of incorrect balances, change of address, and other clerical errors. In letters accompanying the September 1992 payments, the governor and the deputy director of DEPCO stated, "Today marks the end of the credit union crisis for you" (DEPCO n.d.).

7. **Details of Holidays, Suspension, or Gates: The emergency banking holiday applied to all financial institutions that had relied on RISDIC for deposit insurance. Six days after it was imposed, 22 of the 45 affected institutions opened with federal deposit insurance. Financial recoveries from closed institutions depended on the speed and terms of their resolution; authorities required closed institutions to make plans to provide emergency cash to depositors in need.**

Of the 45 financial institutions subject to the bank holiday, 35 were credit unions, seven were loan and investment companies, and three were bank and trust companies (Prosky 2018). The DBR established the terms of the bank holiday, which suspended all transactions for affected banks and prevented them from pursuing new business. The DBR outlined several specific suspension terms (Sundlun 1991a):

- Suspension of the payment to depositors, shareholders, and members of RISDIC-insured institutions;
- Suspension of payments to creditors;
- Suspension of the acceptance of new deposits;
- Suspension of new loan issuance;

- Suspensions of selling, leasing, or otherwise transferring assets, or incurring new liabilities; and
- Suspension of debiting and ATM withdrawals for depositors.

The DBR order dictating the terms of the holiday mandated that all impacted banks submit plans for emergency access to depositor funds. In order to reopen, the DBR called for banks to submit plans "to enable such institution to continue its business and to operate . . . in a safe and prudent manner with adequate capital, reserves and deposit insurance" (Sundlun 1991a).

The emergency withdrawals permitted during the duration of the holiday (See Key Design Decision No. 8, Treatment of Depositors or Investors) required applicants to satisfy one of six acceptable reasons for request (DEPCO n.d.):

(a) Facing immediate foreclosure on primary residence,

(b) Overdue rent or facing immediate eviction,

(c) Non-elective medical treatment or procedure,

(d) Payment for medical insurance for self or family members,

(e) Food expenses, or

(f) Facing immediate termination of utility services.

Authorities included a total of 22 financial institutions that could not access federal insurance in the executive order establishing the terms for emergency withdrawals (DEPCO n.d.). Fourteen institutions remained closed at the end of February 1991, and nine were still closed at the start of January 1992 (See Key Design Decision No. 11, Exit Strategy) (English 1993).[9]

8. Treatment of Depositors or Investors: The governor permitted monthly withdrawals for emergency expenses, and depositors in financial institutions under receivership received payments over time.

All depositors in DEPCO receivership were eventually paid in full with interest on debentures and guaranteed balances (Kostrzewa 2002). However, this outcome was not always clear in the early months of the bank holiday. The state's goal was to open institutions as soon as possible with federal insurance. But deposits remained frozen in banks that could not meet the standards for federal insurance (US House Finance Committee 1991). For five

[9] Greater Providence Deposit Corporation and Greater Providence Trust Company both closed and were listed in receivership in the 1992 Rhode Island Department of Business Regulation annual report (DBR 1992). They appear as a single entity called Greater Providence Deposit & Trust in the documentation concerning the acquisition by Northeast Savings Bank (see Key Design Decision No. 2, Part of a Package) (DEPCO n.d.).

and a half weeks, the governor's staff and General Assembly negotiated the terms of the payouts to depositors in closed banks as a key element of a broad legislation addressing the banking and credit union crisis. Legislators approved and the governor signed the bill creating the Depositors Economic Protection Corporation on February 8, 1991 (Sundlun 1991e). But DEPCO's operations were in limbo until the State Supreme Court cleared up constitutional questions on May 28, 1991 (Rhode Island Supreme Court 1991).

Governor Sundlun implemented several measures to provide options for depositors of closed financial institutions to cover expenses and fund their businesses during the banking and credit union crisis. The government permitted depositors to apply to make emergency withdrawals of up to $1,000. Acceptable expenses included food, rent, mortgage, health insurance, utilities, and other emergencies of this sort (Downing 1991c). In November 1991, the state increased the maximum emergency withdrawal to $1,500 (Downing 1991k).

An early operational issue was how to handle Social Security checks that could no longer be directly deposited to the accounts of their beneficiaries. Representatives from the US Treasury, the Social Security Administration, and the Rhode Island Division of Banking decided that Citizens Bank would be responsible for such direct deposits sent to closed RISDIC institutions (Syron 1991). Staff from the Federal Reserve Bank of Boston helped to coordinate these efforts, and on January 5, 1991, hundreds of customers entered Citizens Bank branches to collect payments formerly destined for closed RISDIC institutions (Espinoza 1991; Syron 1991).

Depositors in financial institutions acquired by DEPCO received payments over time. The government required DEPCO to provide the first payment to depositors within 45 days of the institution's entering DEPCO receivership (Downing 1991f). Depositors received a payout every six months in the three years after their financial institution entered receivership. Depositors with accounts of $100,000 or less were paid in full in cash (see Figure 2 for the scheduled payments for these depositors), and depositors with accounts of greater than $100,000 were initially subject to a graduated payment ladder (see Figure 3), although all haircuts were eventually paid back (for details, see Key Design Decision No. 11, Exit Strategy) (Downing 1991f; English 1993; Kostrzewa 2002).

Figure 2: DEPCO Payout Plan by Account Type, for Accounts of $100,000 or Less

Schedule of Required Payouts	Savings Account	Checking Account	Certificate of Deposit	Individual Retirement Account
First	Up to $2,500	Up to $10,000	Up to $1,000	Up to $1,000
Second	Up to $2,500	Remaining balance	Up to $3,000	Up to $3,000
Third	Up to $5,000	Not applicable	Up to $6,000	Up to $6,000
Fourth	Up to $40,000	Not applicable	Up to $7,500	Up to $7,500
Fifth	1/3 of remaining balance	Not applicable	1/3 of remaining balance	1/3 of remaining balance
Sixth	Same amount as fifth payout	Not applicable	Same amount as fifth payout	Same amount as fifth payout
Seventh	Remaining balance (up to $100,000)	Not applicable	Remaining balance (up to $100,000)	Remaining balance (up to $100,000)

Source: Downing 1991f.

See Appendix: Timelines of Payouts and Mergers by Institution for payouts broken down by specific institution. Most banks in DEPCO receivership roughly followed the DEPCO payout plan, providing payments in June 1991, October 1991, April 1991, November 1991, February 1992, June 1992, and September 1992.[10] DEPCO paid off "guaranteed balances" in October 1993 (See Key Design Decision No. 10, Other Conditions) (DEPCO n.d.).

In May 1994, DEPCO offered to purchase debentures from the depositors who had been given debentures as part of the NSB acquisition. The purchase offer was entirely voluntary but was offered with the caveat that the DEPCO purchase offered 5% interest, while the debenture promised a 9% yield if held until NSB payment. DEPCO repeated this offer in July and August of 1994 (DEPCO n.d.). Those who did not take the offer received payment from Chemical Bank in November 1995 (Downing 1995).

[10] The government also authorized interim distributions for depositors in nine institutions by executive order (see Appendix: Timelines of Payouts and Mergers by Institution) (DEPCO n.d.).

9. Verification of Solvency: Authorities required all eligible institutions to apply for federal deposit insurance. Remaining banks were left for DEPCO to negotiate mergers, sales, or orderly liquidations.

RISDIC-insured financial institutions had already applied for federal deposit insurance in the months leading up to the bank holiday, from the NCUA for credit unions and the FDIC for banks. The NCUA received 33 insurance applications in November 1990, as runs were accelerating, and conducted a five-week examination of all applicants. NCUA officials completed this examination on December 21, deeming 22 credit unions to be eligible for federal insurance (Prosky 2018).

The FDIC conducted a parallel process for banks. In November 1990, five Rhode Island banks submitted applications for federal insurance, but all five were denied by the FDIC board of directors on January 3, 1991 (FDIC 1991; Prosky 2018). According to testimony of Paul Fritts of the FDIC in April 1991, "In all five cases the factors of financial history and condition, adequacy of capital, and risk presented to the insurance fund were resolved unfavorably" (US House Finance Committee 1991, 123).

Following the governor's declaration of a banking emergency, the DBR mandated that all impacted institutions submit liquidity reports and plans through which they could reopen their business with adequate capital, reserves, and deposit insurance (Sundlun 1991a). The 22 credit unions that had been approved for NCUA insurance reopened on January 7, 1991 (Prosky 2018).

The remaining financial institutions that had been rejected by the NCUA or FDIC continued to seek federal deposit insurance. Rhode Island's congressional delegation supported efforts by state officials and worked closely with FDIC authorities (Prosky 2018).[11]

10. Other Conditions: Customers were required to continue making payments on loans from RISDIC banks.

Despite the bank holiday, customers were still required to make payments on loans from RISDIC financial institutions (Downing 1991b). In March 1991, the governor announced a rule allowing frozen deposit funds to be used to make loan payments if both the loan and the deposit were with the same financial institution. This rule applied to depositors in the 13 financial institutions that were still closed at the time, none of which had been acquired for liquidation by DEPCO (Downing 1991g).

For the June 1992 DEPCO payment to depositors, depositors with a remaining balance in excess of $4,000 received 90% in cash and 10% in "guaranteed balances" (DEPCO n.d.). These guaranteed balances were functionally an IOU commitment from DEPCO that earned

[11] On January 23, 1991, Senator John Chafee requested expedited FDIC evaluations for the closed institutions involved in Sundlun's Old Stone Plan (see Key Design Decision No. 2, Part of a Package) (Prosky 2018). The FDIC chairman declined this request, stating that the examination would take three to four weeks to avoid the unnecessary risks associated with merging unhealthy institutions with a healthy bank that was federally insured (Prosky 2018).

simple 5% interest. DEPCO paid off most of these guaranteed balances in September 1992, with the remainder being paid off in October 1993 (DEPCO n.d.; Downing 1993a).

11. Exit Strategy: Some institutions reopened quickly while others sought mergers, acquisitions, self-liquidations, or DEPCO receivership.

Authorities sought various avenues to provide depositors of the 45 RISDIC banks quick access to some or all of their funds. As Governor Sundlun articulated at a congressional hearing;

> In our RISDIC crisis we have said to the closed institutions, "Get yourself federally insured. If you can't do that, find somebody to buy you who has Federal insurance. If you can't do that, find somebody to merge with who has Federal insurance. If you can't do that, find some people to invest some new capital in your company. If you can't do that, then you better look in the mirror and recognize you have a problem. And you better run, not walk, into DEPCO . . . because the DEPCO will take care of the deposits." (US House Finance Committee 1991, 10–11)

By the end of January, 26 financial institutions had reopened with federal deposit insurance (DBR 1991; US House Finance Committee 1991). However, many of the institutions that remained closed were the largest, meaning that 350,000 accounts representing $1.2 billion were still frozen (Prosky 2018).

Several of the remaining institutions were able to merge or be acquired in order to access federal insurance. Still others liquidated and provided payouts to their depositors (Prosky 2018). Six institutions were taken over by DEPCO, with the intention of facilitating a sale to a federally insured bank (see Key Design Decision No. 2, Part of a Package) (Prosky 2018; US House Finance Committee 1991). The state created a payment ladder for depositors. DEPCO said it would pay 100% up to $100,000, and 10% less for each $100,000 bracket, up to $500,000 (Downing 1991i). For depositors not immediately paid in full, the remainder was compensated in the form of guaranteed balances from DEPCO. Figure 3 shows the payment ladder.

Figure 3: Initial Payment Ladder for Depositors of Institutions in DEPCO Receivership*

Size of Deposit	Percentage Reimbursed Immediately in Cash
$100,000 or less	100%
$100,001–$200,000	90%
$200,001–$300,000	80%
$300,001–$400,000	70%
$400,001–$500,000	60%
More than $500,000	50%

* This table shows the payment ladder that was initially planned for payouts to depositors in DEPCO receivership. For accounts with $100,000 or less, 100% of the deposits were intended to be paid back in cash (see Figure 2 for these deposits). As shown in Figure 3, the initially planned payment ladder envisioned haircuts for accounts of more than $100,000. However, the haircuts in the payment ladder were eventually repaid, as DEPCO ensured that all $1.2 billion in frozen deposits were returned.

Sources: Downing 1991i; English 1993; Kostrzewa 2002.

Most depositors received repayment from DEPCO within six to 18 months (Downing 1991f; Hassenfeld Institute 2018; Prosky 2018). The haircuts articulated in the payment ladder were eventually repaid, as DEPCO reimbursed all $1.2 billion in deposits with interest on guaranteed balances (Kostrzewa 2002). The holders of IOUs received cash payment well after smaller depositors had received all of their funds. DEPCO was not legally required to pay off IOUs until 2012, but it repaid most IOU holders in October 1993 (Downing 1993a; Kostrzewa 2002).[12] Debenture holders in the four financial institutions that were part of the NSB deal received their final cash payments in November 1995 (Downing 1995).

The 1991 DBR annual report stated that as of June 30, 1991, 16 institutions remained closed, two had self-liquidated, one had merged with another institution, and 26 had reopened with federal deposit insurance (DBR 1991). The 1992 DBR annual report stated that as of March 31, 1992, 16 financial institutions remained closed (DBR 1992). The DBR listed 14 of these institutions as “In Receivership” and the other two institutions as “Inactive” (DBR 1992). By publication of the 1993 DBR annual report, all banks and trust companies were listed as operating without restrictions (DBR 1993).

DEPCO incurred a $697 million debt to provide payments to depositors. It repaid its debt in full in August 2000, 20 years ahead of schedule. DEPCO officially dissolved in December 2002. The net cost of the intervention to Rhode Island taxpayers totaled $290 million (Kostrzewa 2002).

[12] An October 1993 article reports 438 IOU holders who did not receive checks because the individuals had not responded to DEPCO’s request for identification (Downing 1993a).

12. Regulatory Changes: The crisis accelerated a nationwide shift away from private bank insurance.

The RISDIC crisis became a national issue, prompting shifts away from private deposit insurance throughout the country as many states imposed deadlines for obtaining federal deposit insurance (English 1993; GAO 2003). In the aftermath of the RISDIC crisis, nearly half of all privately insured credit unions transitioned to federal deposit insurance. The 1991 Federal Deposit Insurance Corporation Improvement Act (FDICIA) created comprehensive changes for deposit insurance at the federal level (GAO 2003). Of the nine private deposit insurers operating in the United States before the crisis, five had members convert to federal insurance in the aftermath. These moves reflected a general belief that a national deposit insurance system was better equipped to handle issues of reserve adequacy and risk dispersion given its access to federal government support (Pulkkinen and Rosengren 1993).

On June 20, 1995, then-Governor Lincoln Almond signed a law requiring all depository institutions in Rhode Island to maintain federal deposit insurance (Prosky 2018).

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Appendix

Timelines of Payouts and Mergers by Institution

Blackstone Valley Loan & Investment Bank

Date	Event
Dec. 1992	10 % of balance
March 1993	10% of balance
June 1993	10% of balance
Sep. 1993	10% of balance
Dec. 1993	10% of balance
March 1994	10% of balance
June 1994	10% of balance
Sep. 1994	Interest owed

Brown University Employees Credit Union

Date	Event
Feb. 4, 1991	Payout from Citizens Bank, which had federal deposit insurance, consisting of full checking balance and up to $2,500 from savings
Oct. 1, 1991	Further payout, giving depositors access to 94% of their funds
July 26, 1994	Payout for final 6%, with interest

Central Credit Union

Date	Event
March 1, 1991	10% payout from savings and checking accounts
May 31, 1991	First payout according to DEPCO criteria (see Figure 2 in Key Design Decision No. 8, Treatment of Depositors or Investors)
Oct. 25, 1991	Second payout according to DEPCO criteria
Feb. 14, 1992	Flat $500 payout per individual (regardless of account type)
June 24, 1992	Payout of 90% of remaining balance
Sep. 1, 1992	Payout of full remaining balance for those with a remaining balance under $1,000
Oct. 1, 1993	Final payout of remaining balances, with interest

Chariho-Exeter Credit Union

All depositors transferred to First Bank and Trust, which operated with federal deposit insurance.

Columbian Credit Union

Date	Event
Nov. 15, 1991	10% payout plus $100 from every account
May 7, 1992	Balances transferred to NSB and debentures issued for accounts with more than $9,000

Davisville Credit Union

Date	Event
Feb. 11, 1991	$250 payout from savings and checking accounts
May 31, 1991	First payout according to DEPCO criteria (see Figure 2 in Key Design Decision No. 8, Treatment of Depositors or Investors)
June 24, 1991	Payout of 90% of remaining balance
Sep. 1, 1992	Payout of full remaining balance for those with a remaining balance of less than $1,000
Oct. 1, 1993	Final payout of remaining balances, with interest

East Providence Credit Union

Date	Event
Nov. 15, 1991	10% payout plus $100 from every account
May 7, 1992	Balances transferred to NSB and debentures issued for accounts with more than $9,000

Greater Providence Deposit & Trust

Date	Event
Nov. 15, 1991	10% payout plus $100 from every account
May 7, 1992	Balances transferred to NSB and debentures issued for accounts with more than $9,000

Heritage Loan and Investment Bank

Date	Event
Dec. 4, 1990	Entire account balance paid by RISDIC, but disputes with depositors led to the filing of disputed claims to be ruled on at a later date
Feb. 27, 1992	Payout from receivership for filers of disputed claims, varying by claim but generally 10% of the balance up to $100,000
June 30, 1992	Payout by DEPCO of 90% of remaining balance
Sep. 1, 1992	Payout of full remaining balance for those with a remaining balance under $1,000
Oct. 1, 1993	Final payout for remaining balances, with interest

Jefferson Loan & Investment

All depositors transferred to Banner Loan & Investment (see Marquette Credit Union and Banner Loan & Investment for payout information).

Marquette Credit Union and Banner Loan & Investment

Date	Event
Feb. 13, 1991	Payout of savings balance up to $833 and checking balance up to $3,333
April 4, 1991	Identical payout to previous
May 2, 1991	Identical payout to previous
July 22, 1991	Payout through Old Stone Bank for all accounts with balances less than $100
Sep. 3, 1991	First payments for Banner accounts as well as remaining Marquette accounts based on DEPCO first payment criteria (see Figure 2 in Key Design Decision No. 8, Treatment of Depositors or Investors)
Oct. 29, 1991	Payout of 10% of remaining balance plus $2,500 from Citizens Bank
Feb. 14, 1992	Identical payout to previous
June 30, 1992	Payout by DEPCO of 90% of remaining balance
Sep. 1, 1992	Payout of full remaining balance for those with a remaining balance of less than $1,000
Oct. 1, 1993	Final payout for remaining balances, with interest

Marquette Financial Corporation

No payouts but received DEPCO loans.

Providence Teachers Credit Union

Date	Event
Nov. 15, 1991	10% payout plus $100 from every account
May 7, 1992	Balances transferred to NSB and debentures issued for accounts with more than $9,000

Rhode Island Central Credit Union

Date	Event
Feb. 11, 1991	$105 payout for specific account types
Oct. 25, 1991	$1,000 payout for CDs or IRAs and $2,500 from all other personal account types
Feb. 14, 1992	Flat $500 payout per individual (regardless of account type)
June 30, 1992	Payout by DEPCO of 90% of remaining balance
Sep. 1, 1992	Payout of full remaining balance for those with a remaining balance of less than $1,000
Oct. 1, 1993	Final payout for remaining balances, with interest

Sources: (DEPCO n.d.); authors' analysis.